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INDIA TODAY instituted its State of the States report five years ago to measure and compare the quality of governance at the state level, where it had a direct impact on the life of the common man. In an environment of massive economic change and an undeniable sense of feel-good, this report we find, has also come to be a reality check, reflecting the greatest reality of India's booming prosperity: imbalanced growth.

Every year we focus our State of the States report around one idea and this year we have chosen the theme of inclusive growth and poverty reduction. National Sample Survey Organisation (NSSO) data between 1993 and 2005 shows that while poverty figures are down, in absolute terms poverty is still rampant. One of every four Indians lives below the low tide of poverty at less than a dollar a day. The income levels of the poor may be rising but they do not come even close to the rate at which the rich are getting richer. The top 20 per cent of salary earners in India earn 50 per cent of the country's total salary income while the bottom 20 per cent earn less than 5 per cent.

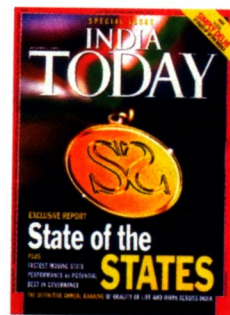
These are damning numbers which exist because of the sustained failure of governance in areas of education and skills training and the development of infrastructure. Where state intervention is needed—in aggressive investment in social and physical infrastructure—it has been found wanting. The distance between what is needed to be done and what is, is reflected in the scores given to states in our annual ranking of their performance.

States are marked on various parameters—expenditure, education and health, infrastructure and environmental safeguards, consumer numbers and law and order—out of a total of 10. What does it say about the quality of governance if the best big state in the country, Punjab, scores an overall 2.5 out of 10 and the best small state, Puducherry, scores 4.02? It is obvious that smaller states do better than big ones, but as one country, India could do much much better.

Our states report is put together with an analysis of empirical data and statistics which are then applied to a ranking model devised by distinguished economists Bibek Debroy and Laveesh Bhandari. I can think of no other comparable study which is able to objectively quantify the quality of governance at the state level. We believe the findings reflect what is actually happening on the ground.

The 2007 State of the States report emphasises once again the need to empower the population in order to capitalise on the gains of the economic boom. Managing Editor Shankkar Aiyar, who put together the cover package on the report, says, "The economic reality is the political challenge." India has embraced liberalisation with enthusiasm and success, but as our report proves, outlays are rarely translated into outcomes. It is time the Government made reforms meaningful.

Aaron Purie
(Aron Purie)



Our Oct 2006 cover